



FOR PRATEEK JAIN, the current start-up funding crunch brings home a feeling of familiarity. In 2016, when the start-up ecosystem underwent a harsh phase of layoffs and shutdowns, funding dried down for his beauty services start-up StayGlad. He was forced to halt operations briefly before he found a willing buyer in Quikr. About 50-odd start-ups, including 20 venture-backed ones, had died in the home services space in a span of six to nine months. Urban Company, then known as UrbanClap, survived, and turned a unicorn in April 2021.

Today, Jain looks at the situation through an investor's lens. As a Principal at growth-capital fund The Fundamentum Partnership, he advises entrepreneurs to do 'everything' to survive if their conviction on total addressable market, or TAM, and business models is rock-solid. "These cycles are bound to happen. Founders need to calm down and go back to basics. If the TAM is large enough and if the business model is robust, do everything to survive and ask existing investors for support. If they're not willing, cut costs to the bone and operate with the leanest team possible. If your competitor has raised money, it's a good sign because you're in a business that makes sense. Survive for the next 10-12 months, and you'll get another shot at glory," he says.

The message is unambiguous: control cash burn, conserve cash, hire diligently, and extend the runway as far as possible.

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Global macro events including the war in Ukraine, rising inflation, spike in interest rates and turbulent public markets have forced investors to be extremely cautious, making it hard for start-ups to raise funds

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Investors are confronted with a supply and demand problem, as new investments require extreme caution while late-stage start-ups delay new rounds

The fundraising environment is clearly witnessing an early, unexpected winter, after a blockbuster year of \$42 billion of investments and 42 unicorns. In January-May 2022, a total of \$16 billion was raised by start-ups. That's a significant drop from \$20 billion in August-December of 2021. Sixteen companies entered the unicorn club in January-May 2022, against 26 in the preceding five months. Reason? A combination of global macro events—the war in Ukraine, rising inflation, spike in interest rates, and dismal performance of tech stocks in the public markets—has cast a cloud over private market investing. Net result: venture capital (VC) investing activity has slowed.

VC firms have begun giving out alarm calls to their portfolio firms. In a 52-deck presentation sent out to its portfolio companies, leading VC firm Sequoia said: "We do not believe that this is going to be another steep correction followed by an equally swift V-shaped recovery like we saw at the outset of the pandemic." Lightspeed Venture Partners said: "The boom times of the last decade are unambiguously over." Silicon Valley-based start-up accelerator Y Combinator asked its large portfolio base to "plan for the worst". And Japanese conglomerate SoftBank said the group may trim its planned start-up investments by more than half.

The situation has set off panic among start-ups, especially the late-stage ones. At least 24 venture-backed firms have announced layoffs; around 10,000 people have been fired by tech start-ups since the beginning of this year. Well-funded firms including Meesho, Unacademy, Vedantu, and Cars24 are among those enforcing layoffs. Vijay Sivaram, CEO of manpower outsourcing firm Quess IT Staffing - Recruitment & Search, says that some moderation is happening in terms of what talent and how much talent is required in start-ups that have raised capital in recent times. "When access to funding is easier, a surplus of capital flows to some start-ups and there is a tendency to hire more people than required. In some plac-